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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

The Real Second-Quarter Story? Top-Line Growth

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Scott Wren
Senior Global Equity Strategist

Last Week's S&P 500 Index:
+0.6%

Key takeaways

» *While most of the headlines have been about earnings growth rates in the second quarter, revenue growth also has been impressive.*

» *Our base case scenario favors a continuation of this robust revenue growth theme in coming quarters.*

If you have turned on any financial TV channels over the course of the past six weeks or so, one of the main topics discussed and highlighted has been, and continues to be, the nearly 25% increase in second-quarter earnings for the S&P 500 versus the year-ago period. This robust performance came on the heels of a stellar 23.2% gain in the first three months of the year. Many on Wall Street have expressed concern that we are seeing "peak earnings" and are calling for slower growth over the balance of the year.

As this strategist has discussed many times, we could very well have hit the peak "organic" growth rate in earnings for the balance of this cycle last year when earnings grew 11.4% versus 2016. The term *organic* refers to earnings that were not juiced by the change in the tax code that took effect on January 1. Without that change, our analysis suggested earnings growth would likely have fallen to the 7% to 9% range, not the close to 20% pace the S&P 500 will probably see this year. As most cycles enter the later stages, it is quite common for the earnings growth rate to slow.

But the bottom line is, no matter how you cut it, earnings growth so far this year has been impressive, and our estimates for the first two quarters have been too conservative. In fact, overall, Wall Street consensus has also trailed actual results as more than 80% of companies in the S&P 500 beat the average analyst estimate in the second quarter. We have argued that companies are issuing particularly conservative guidance as they have been unsure of the new tax code's effect on their downstream customers and the overall domestic economy (i.e., consumer and business spending). History shows that, on average, anywhere from 65% to 68% of companies report better-than-expected results in any given quarter.

So while most are focused on the tax code adjustment and its influence on the level of reported earnings, the issue of revenues or top-line growth has, to a large extent, been lost in the shuffle. While clearly the drop in the corporate tax rate from 35% to 21% had a big effect on the bottom line, so did growth in revenues. Just look at the results in the second quarter. Revenues grew 9.5%, well ahead of the 8% we expected. In a good economy, we expected revenue growth to be approximately 2.5% better than nominal gross domestic product (GDP) (our estimated 2.9% growth + our estimated 2.4% inflation this year). Higher revenues have come as consumers and businesses are out spending money and the global economy moves ahead as called for in our base-case scenario. The labor market is finally tight, and hiring has been brisk. Business capital spending also appears to be broadening to a wider spectrum of industries compared to late last year and into early 2018. And recent Institute for Supply Management (ISM) surveys suggest capital expenditures should continue to broaden in coming quarters.

The bulk of the conversation this year will likely continue to be the spike in earnings growth due to the tax code change. But the real story in the second quarter, at least in this strategist's opinion, was top-line growth.

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